

FSCS Management Expenses Levy Limit and Base Costs

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Application and Definitions

1.1

This Part applies to the [FSCS](#).

- 03/07/2015

1.2

In this Part, the following definitions shall apply:

[*contracts of insurance*](#)

has the meaning given in Article 3(1) of the [Regulated Activities Order](#).

[*CRO insurer*](#)

has the meaning given in the [Policyholder Protection](#) Part.

[*FCA compensation scheme rules*](#)

means the rules of the [compensation scheme](#) that are *FCA rules*.

[*management expenses levy*](#)

means a levy imposed by the [FSCS](#) to meet *management expenses*.

[*participant firm*](#)

1. (1) has the meaning given in paragraph A (2) of the [PRA Handbook](#) Glossary definition of 'participant firm' as at 29 February 2016 for the purposes of the [PRA's](#) rules and has the meaning given in the FCA Handbook for the purposes of the [FCA's](#) rules in FEES 1; and
2. (2) includes [CRO insurers](#).

[*policyholder protection scheme*](#)

means the [compensation scheme](#) for claims under [contracts of insurance](#).

[PRA class](#)

means a [class](#) to which the [FSCS](#) allocates levies in accordance with [PRA](#) rules.

[*regulatory costs*](#)

means the periodic fees payable to the [PRA](#) or [FCA](#) by a [participant firm](#) (and where applicable *the Society*) in accordance with the [PRA's](#) rules in [Fees 3](#) and in accordance with [FEES 4](#) in the [FCA Handbook](#).

- 31/12/2020
- [Past version of 1.2 before 31/12/2020](#)

1.3

Unless otherwise defined, an italicised expression used in this Part and in the [Depositor Protection](#) Part, has the same meaning as in the [Depositor Protection](#) Part.

- 03/07/2015

1.4

[Deleted.]

- 30/11/2022
- [Past version of 1.4 before 30/11/2022](#)

Limit on Management Expenses Levies

2.1

[Deleted]

- 01/04/2023
- [Past version of 2.1 before 01/04/2023](#)

2.1A

The amount which the [FSCS](#) may recover from the sums levied under the [compensation scheme](#) as [management expenses](#) attributable to the period 1 April 2025 to 31 March 2026 may not exceed £108,579,230.

- 01/04/2025
- [Past version of 2.1A before 01/04/2025](#)

2.2

This amount is the combined limit in respect of the [deposit guarantee scheme](#), the [policyholder protection scheme](#) and the [FCA compensation scheme rules](#).

- 01/04/2023

3

Base Costs

3.1

The [FSCS](#) must calculate a share of a [base costs levy](#) for a [firm](#) and, where applicable, the [Society](#) by:

1. (1) identifying the [base costs](#) which the [FSCS](#) has incurred, or expects to incur, in the relevant financial year of the [compensation scheme](#) but has not yet levied and allocating 50% of those [base costs](#) as the sum to be levied on participants in [PRA classes](#);

2. (2) calculating the amount of the [regulatory costs](#) of the [firm](#) (or, where applicable, the [Society](#)) as a proportion of the total [regulatory costs](#) of all [participant firms](#) (and, where applicable, the [Society](#)) for the relevant financial year; and
3. (3) applying the proportion calculated in (2), if any to the sum in (1).

- 30/11/2022
- [Past version of 3.1 before 30/11/2022](#)